

This confusion strikes people of different persuasions; the literature professor invests a deep meaning into a mere coincidental occurrence of word patterns, while the financial statistician proudly detects “regularities” and “anomalies” in data that are plain random.

At the cost of appearing biased, I have to say that the literary mind can be intentionally prone to the confusion between *noise* and *meaning*, that is, between a randomly constructed arrangement and a precisely intended message. However, this causes little harm; few claim that art is a tool of investigation of the Truth – rather than an attempt to escape it or make it more palatable. Symbolism is the child of our inability and unwillingness to accept randomness; we give meaning to all manner of shapes; we detect human figures in inkblots. *I saw mosques in the clouds* announced Arthur Rimbaud the 19th-century French symbolic poet. This interpretation took him to “poetic” Abyssinia (in East Africa), where he was brutalized by a Christian Lebanese slave dealer, contracted syphilis, and lost a leg to gangrene. He gave up poetry in disgust at the age of 19, and died anonymously in a Marseilles hospital ward while still in his thirties. But it was too late. European intellectual life developed what seems to be an irreversible taste for symbolism – we are still paying its price, with psychoanalysis and other fads.

Regrettably, some people play the game too seriously; they are paid to read too much into things. All my life I have suffered the conflict between my love of literature and poetry and my profound allergy to most teachers of literature and “critics”. The French poet Paul Valery was surprised to listen to a commentary of his poems that found meanings that had until then escaped him (of course, it was pointed out to him that these were intended by his subconscious).

More generally, we underestimate the share of randomness in about anything, a point that may not merit a book – except when it is the specialist who is the fool of all fools. Disturbingly, science has only recently been able to handle randomness (the growth in available information has been exceeded by the expansion of noise). Probability theory is a young arrival in mathematics; probability applied to practice is almost nonexistent as a discipline.

Consider the left and the right columns of Table P.1. The best way to summarize the major thesis of this book is that it addresses situations (many of them tragicomical) where the left column is mistaken for the

Table P.1 Table of Confusion
Presenting the central distinctions used in the book

GENERAL	
Luck	Skills
Randomness	Determinism
Probability	Certainty
Belief, conjecture	Knowledge, certitude
Theory	Reality
Anecdote, coincidence	Causality, law
Forecast	Prophecy
MARKET PERFORMANCE	
Lucky idiot	Skilled investor
Survivorship bias	Market outperformance
FINANCE	
Volatility	Return (or drift)
Stochastic variable	Deterministic variable
PHYSICS AND ENGINEERING	
Noise	Signal
LITERARY CRITICISM	
None (literary critics do not seem to have a name for things they do not understand)	Symbol
PHILOSOPHY OF SCIENCE	
Epistemic probability	Physical probability
Induction	Deduction
Synthetic proposition	Analytic proposition

right one. The sub-sections also illustrate the key areas of discussion on which this book will be based.

The reader may wonder whether the opposite case might not deserve some attention, that is, the situations where non-randomness is mistaken for randomness. Shouldn't we be concerned with situations where patterns and messages may have been ignored? I have two answers. First, I am not overly worried about the existence of